Table 14.11 **(continued)**

		1990-2010			2007-2010		
Panel B	*Sign*	*Mean*	*Std*	*Raw SR*	*Mean*	*Std*	*Raw SR*
Real GDP growth	+	7.58	7.31	1.04	6.87	3.83	1.79
Nominal GDP per capita USD	-	7.80	7.92	0.98	6.42	4.45	1.44
GDP (PPP)	-	7.99	8.61	0.93	6.67	3.58	1.86
GDP (PPP) per capita	-	7.64	8.27	0.92	6.33	4.26	1.49
GDP (PPP) share of world	-	7.99	8.60	0.93	6.70	3.54	1.89
Inflation rate	+	7.97	7.89	1.01	6.59	3.58	1.84
Unemployment rate	+	7.43	7.87	0.94	6.14	4.47	1.37
Govt expenditure/GDP	-	5.41	5.88	0.92	7.31	3.77	1.94
Govt net lending/borrowing/GDP	+	5.72	6.66	0.86	7.01	3.67	1.91
Govt net debt/GDP	-	7.16	7.05	1.02	6.81	3.25	2.09
Govt gross debt/GDP	-	7.27	7.14	1.02	6.96	3.01	2.31
Current a/c/GDP	+	7.58	7.64	0.99	6.77	4.31	1.57
Market		7.35	7.49	0.98	6.47	4.10	1.58
GDP weighted		7.63	6.84	1.11	6.31	3.64	1.73
Mktcap/GDP weighted		7.23	6.04	1.20	6.55	6.59	0.99

number one priority is the return potential. The country weights should reflect the importance of these factors. Market capitalization or GDP weights will probably not accomplish that. Investors should decide on the factors, then reflect the importance of these factors by sovereign weights.

What about the optimal holdings of safe assets within a given country? Figure 14.12 plots the market values of all U.S. Treasury issues at December 31, 2011, using data from Bloomberg. Panel B removes U.S. T-bills and uses only longer-dated U.S. T-notes and T-bonds.[50] If you used a market weighted index, your holdings are skewed toward short-dated maturities because the U.S. Treasury

[50] At issue, Treasury notes have maturities between two and ten years, while Treasury bonds have maturities between twenty and thirty years. When issued, T-bills carry maturities less than one year.